

**How Have Central Bank Interest Rate Policies After COVID-19
Affected Stock Market Volatility in Emerging and Developed
Economies?**

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The COVID-19 pandemic triggered one of the most severe global economic crises in modern history, making both advanced and emerging economies fall into deep uncertainty. Unlike normal recessions, which are normally rooted in financial imbalances or cyclical depressions, the pandemic caused a sudden, externally induced halt in global economic activity. Lockdowns led to the disruption of the supply chain and plummeting consumer demand, which forced governments and central banks worldwide to respond effectively and immediately with expansive policy measures. Among the most critical of these were adjustments to interest rates, a primary tool of monetary policy.

Central banks have used interest rates to adjust the cost of borrowing and the return on savings, thereby affecting overall economic activity. Lowering policy rates has reduced borrowing costs for households and businesses, encouraging both consumption and investment, while also making savings less attractive. This normally stimulates the demand and helps fight off the pressure of a recession. However, on the other hand, raising rates has helped control inflation by cooling excess demand. Interest rate policy have also influenced exchange rates, capital flows, and financial market stability, making it a vital lever for managing macroeconomic stability.

In light of the recent COVID-19 crisis, central banks in both developed and emerging markets not only reduced interest rates to historic lows but also expanded their tools, such as asset purchases, forward guidance, and liquidity support. The extent of these changes, their effectiveness, and spillover effects of these measures, especially amidst diverging recovery speeds, raised critical questions on monetary policy in emerging markets, which are sensitive to the global financial cycle.

By 2022, the global monetary landscape had begun to shift toward normality. As pandemic-related restrictions had finally started to ease, demand was able to rebound sharply, while supply chains have remained constrained, leading to persistent inflationary pressures in most nations of the world. In response to this constant pressure, the central banks led by the U.S. Federal Reserve, the European Central Bank, and the Bank of England began a collective phase of monetary policy tightening, raising interest rates aggressively to bring inflation back within target ranges.

However, the challenges along with this tightening of monetary policies have varied a lot between advanced and emerging economies. In developed economies, central banks have been fighting high rates of inflation with tight labour markets and wage growth, creating a complex situation between restricting price increases and sustaining employment levels.

On the other hand, emerging markets faced a different set of problems with these policy changes. Many have been forced to raise interest rates pre-emptively to prevent capital outflows and depreciation of their currencies, often at the cost of domestic growth. As the U.S. dollar has strengthened, external debt has become more expensive, and weaker currencies contribute to imported inflation, particularly in food and energy.

So the goals of monetary tightening may be similar, primarily to suppress inflation, but the economic constraints and consequences have been shown differently across countries. This discrepancy raises questions about the spillover effects of interest rate decisions in advanced economies on emerging markets, and their effect, as well as how monetary policies in advanced economies change the macroeconomic situation in emerging economies.

Interest rate policies have played a very important role in shaping investor sentiment, asset valuation, and capital flows, which have all been key tools of stock market volatility. Recently, since central banks raised interest rates, the cost of borrowing has increased, which has led to a reduction in disposable income and reduced corporate earnings expectations. This often leads to downward pressure on equity valuations, especially in sectors that are sensitive to how easy it is to do business, such as technology or real estate. On the other hand, when interest rates have been lowered, it has resulted in cheaper credit, which can lead to boosted consumption and investment.

Along with this, investor sentiment tends to react sharply to both anticipated and unexpected changes in monetary policy. Unexpected rate hikes, hawkish forward guidance, or shifting inflation expectations can trigger volatility spikes, as the markets very quickly adjust to new discounting models for future cash flows. At the same time, capital flows respond to yield differentials between economies. Rising interest rates in advanced economies, particularly in the US, can often attract capital away from emerging markets, causing foreign portfolio outflows, currency depletion, and further instability in these economies.s

This makes it necessary to compare the effects of post-COVID interest rate policies on stock market volatility across different countries in terms of their economic stability. While developed economies may witness volatility driven by domestic inflation data and wage trends, emerging markets are more vulnerable to external shocks, exchange rate fluctuations, and investor risk, which is closely associated with global financial cycles.

To help understand these dynamics, policymakers, investors, and scholars must think and work alike. It helps to provide insights into the transmission mechanisms of monetary policy in

different countries and reveals how differences in their structure, such as capital market depth, fiscal flexibility, or monetary credibility, can soften the impact of interest rate changes. A comparative analysis of stock market volatility in advanced versus emerging economies during the post-COVID tightening phase can thus help us find the crucial similarities and dissimilarities in economic response in different economic states of countries.

The Turn to Tightening and New Global Challenges

By late 2021 and rolling into 2022, monetary policy direction drastically changed. Inflation, once a far-off worry, skyrocketed globally, fueled by supply chain logjams, labour shortages, and higher energy and food prices. In the developed world of the United States and the Eurozone, inflation hit multi-decade peaks, and central banks responded by initiating forceful tightening cycles. The US Federal Reserve, for instance, raised interest rates five times in 2022 alone, and the ECB brought to a close an almost decade-long period of negative interest rates with a 125-basis-point hike (Deloitte Insights, 2022)

This tightening was not limited to the advanced economies only, but also the emerging markets were experiencing inflation pressures and were tightening ahead of their advanced counterparts at times. But the challenges they were experiencing were varied and perhaps more so. Advanced economies were mostly wrestling with inflation and labour shortages, whereas emerging markets were experiencing weakening currencies, increasing external debt burdens, and the spectre of capital flight from abroad. Whereas investors were moving to higher-yielding and safer assets in advanced economies, most emerging economies were experiencing steep foreign portfolio investment outflows.

The sudden outflow of foreign capital from developing nations triggered a string of financial strains. The currency depreciated, making it more costly to import and raising domestic inflation. Meanwhile, rising interest rates around the world meant higher borrowing costs, which made it harder for governments and companies to pay their debt. According to Deloitte, a number of developing economies experienced deteriorating balance of payments, declining investor confidence, and foreign exchange reserve depletions, with India alone consuming over \$80 billion to defend its currency. This environment of rising interest rates and global uncertainty had a direct effect on the dynamics of equity markets. The interest rate environment, especially equities, is extremely responsive to interest rate changes. When interest rates go up, borrowing is more expensive and future revenues of companies are discounted more severely, which can lead to a decline in stock prices. At the same time, higher interest rates in developed nations make riskier assets, especially in emerging markets, less desirable, leading to capital outflows and additional market volatility.

Investor sentiment also plays a role in initiating panic moves in the market. Policy shocks, either abrupt or unanticipated, have the potential to induce panic selling or spiking volatility, particularly in less efficient institutional arrangements and communication policies in economies. The post-COVID era has shown the way in which sentiment can shift quickly, from optimism because of stimulus packages to skepticism as inflation and interest rates rise. Volatility, in this case, becomes not just an outcome of economic fundamentals but also of psychological reactions to policy signals.

In this context, the focus of this paper is on analysing how different economies have dealt with stock market volatility due to post-COVID interest rate policy. Although the shocks were universal, the impact did not remain the same for all economies. Advanced economies, due to

their bigger financial system and strong institutions, dealt with the transition well in a more stable way. Emerging economies, however, had to confront inflation management, currency defense, and fiscal stress together, and thus, they remained vulnerable to sudden changes in investor sentiment and trading patterns.

The relative impact of post-COVID central bank interest rate actions on emerging and developed economies' stock market volatility is the subject of this paper. Through the analysis of monetary policy decisions, capital flow patterns, inflation patterns, and market trends between 2020 and 2024, the paper will examine how central bank actions impacted market stability in the face of economic realities. Case studies of the United States, Eurozone, India, and Brazil, among others, will offer real-life examples of such realities.

As a lover of economics and financial markets, I was attracted to this subject both for its international significance and for its profound implications for policy, development, and equity in a post-pandemic era. Learning how monetary choices influence stock markets can illuminate overall economic well-being and guide investors as well as policymakers through the landscape of economic recovery in the coming years.

Central Bank Interest Rate Reactions During and After COVID-19

Pandemic-Era Monetary Easing: A Global Shift to Ultra-Low Rates

In response to the economic shock caused by COVID-19, central banks worldwide took the step of providing emergency monetary stimulus. Lockdowns and sudden closures led to gigantic declines in demand, output, and employment. Stock markets plummeted, and confidence among investors fell. Under such situations, central banks intervened to provide liquidity and stabilize the economy.

All big advanced economies had already been at record-low interest rates after the 2008 financial crisis. The COVID-19 crisis took them even lower. The US Federal Reserve, for instance, reduced its policy rate to near zero in March 2020. The European Central Bank and Bank of Japan maintained negative or zero rates, but increased asset purchases to stabilise the bond market. (English et al, 2021).

To finance their economies, central banks used a variety of traditional and non-traditional instruments. These were:

- Policy rate reductions to lower the cost of borrowing.
- Asset purchase programs to ensure liquidity in credit and bond markets.
- Credit facility and regulatory easing to support small and medium-sized enterprises and prevent a banking crisis.
- Forward guidance, which refers to the central banks' overt announcement of future policy measures to reduce uncertainty to pin down expectations and calm markets (English et al, 2021).

Emerging market central banks also acted quickly. Unlike previous crises, some emerging economies slashed their rates sharply without suffering immediate capital flight. Similar to the Reserve Bank of India (RBI), Bank Indonesia, and the Central Bank of Brazil, some of them have launched rate cuts and domestic purchase of assets programs. The CEPR contends that, unlike before, some emerging markets were in a position to mimic advanced economy action without market destabilisation because of stronger macroeconomic fundamentals and accumulated foreign exchange reserves.

This synchronised worldwide loosening served to stabilise markets and generate a short-term rebound in the latter stages of 2020 and 2021. But at a price, ballooning central bank balance sheets and setting the stage for inflationary pressures that would eventually become apparent.

Post-COVID Monetary Tightening: Tackling Inflation With Bold Hikes

From mid-2021 to 2022, the macroeconomic environment changed. Supply chain shortages, commodity price shocks, especially from the Russia-Ukraine war, and a recovery in consumer demand pushed inflation sharply up. Central banks moved from easing to tightening at a more rapid rate.

In developed economies, inflation reached record levels. In the US, inflation reached 8.3% as of August 2022, and the UK reached 10.1% in July. The Eurozone reached 9.1% as of August, more than double the rate of late 2021 inflation rates. (Deloitte Insights, 2022). In response, the US Federal Reserve raised interest rates five times in 2022, raising the policy rate by 300 basis points over seven months, an aggressive streak not seen since the 1980s (Deloitte Insights, 2022).

Similarly, the European Central Bank in 2022 raised its deposit facility rate by 125 basis points, bringing the period of nearly a decade of negative rates to an end. The moves were a sharp and unmistakable reversal of global monetary policy direction. Emerging markets, in turn, had started hiking rates even sooner. With inflation, currency weakness, and capital flight, central banks in nations like Brazil, India, and South Africa tightened policy rapidly; However, their battles were multifaceted. Unlike developed economies, emerging markets also needed to

support their currencies against further weakening against the US dollar, which had strengthened due to the Fed.

Capital outflows from emerging markets picked up. With foreign investors looking for safer and higher-yielding assets in the US and Europe, foreign portfolio investment in emerging markets dropped sharply, expected to fall by 42% in 2022 alone (Deloitte Insights, 2022). The outflows pinned down local currencies, raising the cost of imported products and fuelling inflation.

India and others have had to dip into foreign reserves to support their currency. India alone spent an estimated \$80 billion in August 2021 through mid-2022, supporting the rupee (Deloitte Insights, 2022). While effective in the short term, they are unsustainable and lower the country's import cover even further, further straining trade balances and investor confidence.

In the worst cases, emerging markets faced outright economic crises. Sri Lanka, for instance, defaulted on foreign debt in July 2022 when it ran out of foreign reserves to finance its usual imports like fuel. Inflation accelerated, and shortages were widespread, suggesting the risks facing countries with weakened fiscal balances and large external debt.

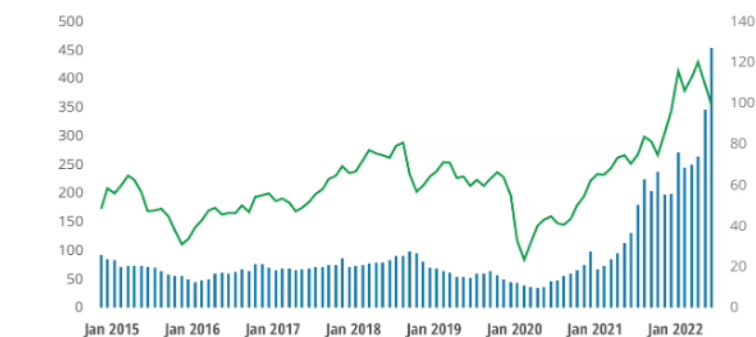
Inflation Pressures Behind Rate Hikes

One of the most powerful post-COVID monetary tightening drivers was the jump in world commodity prices. The chart below, which I have sourced from Deloitte, shows the steep rise in natural gas prices and key metal prices during 2021 and 2022. This rise in the principal input prices directly compares to consumer-price inflation, prompting central banks, especially across energy-importing nations like the Eurozone and India, to raise interest rates in an attempt to curb price increases and inflation expectations.

Figure 1: Natural Gas Prices, 2015- 2022

Natural gas prices are now more than seven times what they were in December 2019

■ Natural gas index (2010 = 100, left axis) ■ Brent crude oil (US\$/barrel, right axis)



Note: Price and index values are end-of-period for a month.

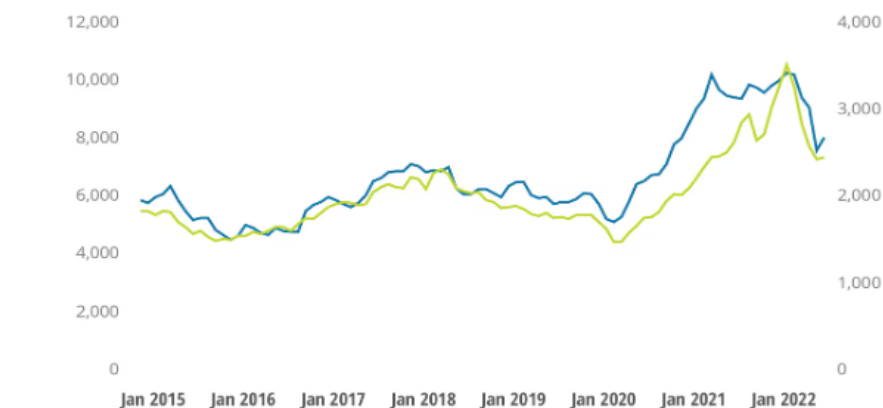
Sources: World Bank (sourced using Haver Analytics); Deloitte economic analysis.

Source: Deloitte Economic Analysis, World Bank

Figure 2: Key Metal Prices, 2015- 2022

Key metal prices are much higher than the five years before the pandemic

■ Copper (US\$ per metric ton; left axis) ■ Aluminum (US\$ per metric ton; right axis)



Note: Prices are end-of-period for a month.

Sources: World Bank (sourced using Haver Analytics); Deloitte economic analysis.

Source: Deloitte Economic Analysis, World Bank

This chart depicts just a small piece of the global inflation story, but it illustrates the perception of the crisis that drove interest rate policy in emerging and developed nations. Central banks with sharply accelerating import bills had no option but to tighten their policies. For developed nations, this involved giving up a decade of sub-zero interest rates. For emerging nations, it involved moving even sooner and more forcefully to shore up their currencies against collapse, to preserve foreign reserves, and to halt accelerating inflation from a stronger dollar and higher external debt service (Deloitte, p. 3–4).

A Global Response, But Unequal Challenges

While advanced and emerging economies both welcomed bold monetary policy responses to the COVID shock and its legacy, the challenges they faced were not symmetrical. Advanced economies enjoyed greater room to expand their balance sheets and offer forward guidance, while emerging economies always had to balance inflation with exchange rate stability.

Post-COVID advanced economy rate hikes had spillover impacts globally, raising borrowing rates, deteriorating debt conditions, and triggering capital flight from the emerging economies. Indonesia and Brazil rode out the stress, but Sri Lanka did not. As the world economies began new money cycles, the divergence of capacity and impact between advanced and emerging economies is an area of research.

Trends in Stock Market Volatility in Developed and Emerging Economies

COVID-Era Volatility: The Initial Shock to Markets

The COVID-19 pandemic unleashed a record level of market volatility as panic set in on world economies. Early in 2020, major stock markets around the world fell in developed and

emerging economies, reflecting lockdown panic, collapsing demand, and unprecedented economic calamity. Investor sentiment turned extremely bearish, prompting what analysts called a global "dash for cash," where even highly liquid assets like U.S. Treasuries were sold in panic (English et al, 2021).

The developing economies faced the highest volatility during this period. Capital flight accelerated as investors offloaded risk assets, and equities of countries like Brazil, India, and South Africa shed double-digit values within weeks. Nevertheless, aggressive central bank interventions, including rate reductions, liquidity injections, and asset purchases, calmed markets in mid-2020 (English et al, 2021).

Second Wave: Volatility Reappears with Rate Increases and Inflation

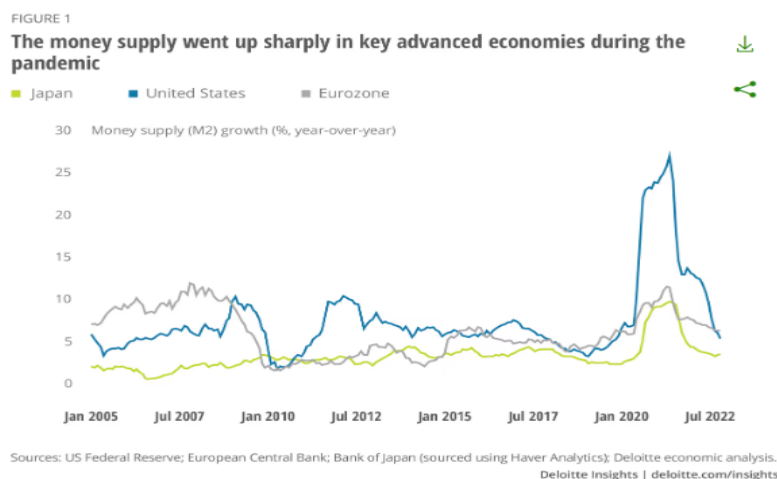
After a fairly muted 2021, stock market volatility again surged in 2022 as central banks began to tighten monetary policy to combat inflation. This time, investor fear was not of economic meltdown, but of the risks of over-tightening, slowing growth, lowering corporate profits, and possible recessions.

Central bank rate tightening in developed economies triggered immediate reactions across stock markets. The Federal Reserve in the United States tightened rates aggressively when inflation levels went past 8% in mid-2022, and subsequently, the Bank of England and European Central Bank followed with their individual tightening measures. These monetary measures injected fresh uncertainty into stock markets in the United States, the United Kingdom, and the Eurozone.

The following graph, which is taken from Deloitte, illustrates the boom of money supply growth during the pandemic in America, the Eurozone, and Japan. The resulting liquidity excess

fuelled financial markets in the short run but set the stage for inflation too, leading to the 2022 rate hikes that eventually led to market corrections.

Figure 3: Strong increases in money supplies in advanced economies during the pandemic.



Source: Deloitte Economic Analysis; US Fed, ECB, BOJ

Emerging Markets: Hit Hard by Global Financial Spillovers

Emerging markets saw more and longer-lasting volatility from financial spillovers from the world. The combination of rising U.S. interest rates, a strengthening dollar, and increased geopolitical risk (particularly after the Russia-Ukraine crisis) created significant distress for emerging market equities.

The second chart below, by Deloitte, illustrates this point well. It shows how, after the start of the Russia-Ukraine war in February 2022, increasing U.S. Treasury yields and an increasing dollar were accompanied by the sudden decline of the MSCI Emerging Markets Index, an indicator of emerging market equities performance.

Figure 4: Increases in U.S. yield and dollar increases have been parallel to decreases in the value of equities in emerging markets.



Source: Deloitte Economic Analysis; MSCI, Haver Analytics

The graph illustrates that as U.S. yields increased by nearly 200 basis points over several months, investor sentiment regarding emerging markets went in the opposite direction. Capital went into safer, relatively higher-yielding U.S. assets, and emerging market equities were left to absorb prolonged losses. India and Brazil witnessed their share markets suffer as currency weakness and inflation fears fueled volatility (Deloitte Insights, 2022).

Key Drivers of Volatility Across Markets

Rapid Policy Shifts - Markets tend to react adversely when interest rates rise more rapidly than expected. In 2022, the rapid pace of tightening, especially by the Fed, had investors scrambling to reprice risk in general.

Currency and Inflation Pressures - Capital flight in the emerging markets resulted in local currency depreciation. This pushed up the price of imported products and dollar-denominated debt, putting pressure on stocks.

Investor Risk Aversion - As the world becomes more uncertain, because of inflation, war, and slowing growth, investors reduce exposure to riskier emerging market assets, increasing volatility.

Supply Shocks and Commodity Prices - Sudden spikes in energy and food prices, such as have been felt in previous Deloitte graphs, also created market volatility, especially among the net importers.

Conclusion: Volatility Was Global, But Not Equal

The post-COVID period registered two distinct waves of market turbulence, one in which the initial meltdown of 2020 occurred and the other in the 2022 monetary policy tightening phase. Developed markets witnessed sharp rebounds and limited corrections, while emerging markets registered significant effects, though for the longer term.

The record stands on its own. The capital flight, weakening currencies, and inflationary pressures all came together to inflict more intense stress on emerging markets. These markets are extremely sensitive to policy surprises in the developed economies, highlighting the interconnected but asymmetrical character of global financial markets.

This increasing divergence provides the backdrop for the next part of this paper, where we look at how interest rate movements affected the behavior of the stock market directly, and why the responses vary so much between countries.

Volatility in the Stock Market and Interest Rate Policies

The Mechanism: How Interest Rates Influence Market Volatility

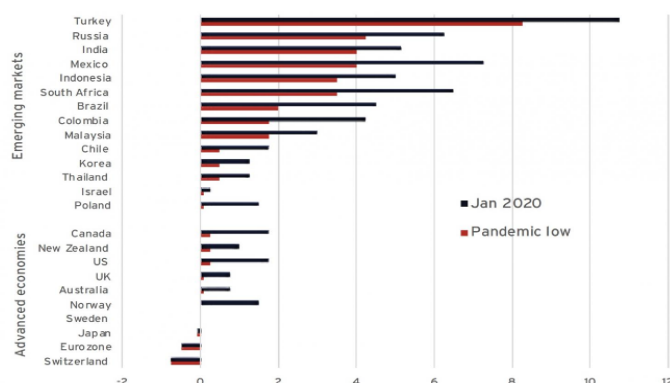
Interest rate changes are possibly the most potent instruments that central banks possess to control stock markets. Decreasing interest rates lower the price of borrowing, which has a tendency to boost consumption, investment, and profitability of companies, leading to returns in stock markets. Raising interest rates, on the other hand, raises the price of capital, lowers expectations of future profitability, and makes risk-averse investments like bonds attractive, which has a tendency to fall or get more volatile in stock markets.

Volatility may be induced by investors' uncertainty in the event of monetary tightening. Markets react not only to actual changes in interest rates but also to perceived actions by the central bank in the future. When these actions are aggressive, pre-emptive, or badly explained, they create a culture of uncertainty, especially in foreign investment-based economies or those with thin financial buffers.

Monitoring Rate Movements During the Pandemic

The graph below, from CEPR (2022), illustrates how the policy rates of central banks in emerging and advanced economies were reduced to record lows at the beginning of the pandemic. The graphs show interest rates in January 2020 against the trough levels of the crisis.

Figure 5: Central bank policy rates: Pre-COVID to pandemic low



Source: Bloomberg.

Note: Emerging market central banks are categorised based on the Bank for International Settlements' definitions of "Developed" and "Emerging/Developing."

Source: CEPR, 2021 via Bloomberg

This chart illustrates a dramatic convergence of monetary policy among emerging and developed nations:

The advanced economies of the U.S., UK, Eurozone, and Japan had little room to decrease, since they were already at near-zero levels.

The emerging economies of Brazil, India, and Mexico cut more sharply, bringing the rates down by 2–4 percentage points in most cases.

This globalised and synchronised loosening helped to calm global markets in 2020 and 2021. It also laid the foundation for synchronised inflationary pressures afterwards, which resulted in simultaneous interest rate hikes in economies in 2022.

Interest Rate Increases and Their Unpredictable Consequences

As inflation picked up in 2022, due to supply chain pressures, commodity inflation, and the rebound in demand following the pandemic, central banks were not far behind. The U.S. Federal

Reserve raised rates by 300 basis points over seven months. Already plagued by inflation and currency weakness, emerging markets began raising interest rates earlier and in most cases more forcefully. This generated three triggers of volatility:

- Risk repricing in equity markets - With the rise in interest rates, investors repriced future earnings and rearranged their portfolios, causing stock market fluctuations.
- Capital flight out of emerging markets- Higher U.S. yields drew capital out of riskier markets, leading to falling stock prices, weakening currencies, and inflation in EMs.
- Tighter worldwide financial conditions - Central banks of major nations increasing in tandem left investors with fewer sheltered havens, leading to more market volatility even in the advanced markets.

As per CEPR (2022), this worldwide tightening broke the relative tranquility experienced in the easing phase and uncovered harsh contrasts in the manner in which markets had absorbed rate shocks. The emerging economies had to hike rates to fight inflation as well as to support their currencies, contain imported inflation, and avoid loss of reserves. India, Brazil, and South Africa utilized their foreign exchange reserves extensively to support their economies (Deloitte, p. 4). The coincidence of rate hikes and capital flight created a feedback loop, volatility bred more disinvestment, and disinvestment fed back to more volatility.

The Contribution of Investor Psychology to Volatility

While central bank policy and macroeconomic information drive a lot of the activity in stock markets, investor sentiment plays a surprisingly powerful role in volatility, especially in periods of interest rate volatility. Even in periods of calm in the economy, shifts in sentiment can bring on wild price fluctuations.

When central banks hike interest rates, the textbook suggestion is that borrowing would slow down, inflation would moderate, and asset prices would fall. In practice, markets simply prefer to get in front of facts based on what investors believe could be the next thing. This is particularly the case when there is uncertainty, as was the case after COVID-19, when the future was highly uncertain.

The best example of the same was witnessed in 2022, when the U.S. Federal Reserve and other central banks in the advanced economies began to hint at rate hikes in a very aggressive way. Stock markets were already in a free-fall even prior to the economy feeling the complete brunt of rate hikes. Investors were already incorporating forward expectations, apprehensive about slowing growth, falling earnings, and potential recession. Forward expectations have a tendency to amplify volatility as investors move rapidly, sometimes more out of fear and less out of facts.

This impact is even stronger in emerging markets, whose investor confidence is more tenuous. If a central bank tightens but doesn't say so, markets will take this as a signal of distress, not control. Similarly, if a large global central bank such as the Fed tightens, investors can exit emerging markets instantly, whether or not the economies are truly struggling. These instant exits can trigger stock sell-offs, currency devaluations, and higher inflation, all of which generate extra market volatility.

Investor psychology also explains why forward guidance, a technique whereby central banks signal their intentions for future policy, has been such a big deal. When used well, it removes uncertainty, enabling investors to make better choices. When used poorly or in a contradictory manner, it creates confusion and fear, even where no policy has in fact changed.

In short, sentiment in the market can be as significant as what the news is telling us. Volatility is not only a result of a consideration of interest in rate decisions, but of the perception of the decisions themselves. An increase in rates could be seen as a sign of strength in one country and as a warning in another, depending on investor confidence, history, and market signals.

By taking into account the psychology of investors, policymakers can also more effectively manage expectations and reduce the potential for overreactions. And for analysts, it is a reminder that the market's volatility is not mechanical; it's perceived, human, and emotional.

Interest Rates as a Driver of Asymmetric Volatility

The CEPR graph confirms how both emerging and developed markets responded in the same manner at first, cutting rates sharply in 2020, but diverging extremely in 2022. Developed economies began aggressive tightening to contain inflation, but in the same manner, emerging markets had to endure additional burdens like defending currencies and managing capital outflows.

This divergence increased the volatility of stock markets, particularly of emerging markets, where slight movements in global rates could provoke enormous equity selling. Developed markets, having stronger institutions, more stable currencies, and deeper investor bases, rode out the tightening cycle relatively better.

These findings bring us to one of the main points of this paper - monetary policy does not affect all markets equally, even when it is in the same direction. Section 5 brings this out by examining the more basic structural differences that explain why some economies were more vulnerable to volatility than others.

Comparative Analysis – Developed and Emerging Markets

Similar Tools, Altered Contexts

The COVID-19 pandemic forced the world's central banks to respond quickly with monetary policy instruments, lowering interest rates, injecting liquidity, and initiating asset-purchase programs. Historically, these "unconventional" instruments had been largely the preserve of advanced economies. But in the pandemic, several emerging market central banks employed the same instruments without inducing panic or capital flight, breaking the record of previous crises such as the 1997 Asian Financial Crisis or the 2013 taper tantrum (English et al, 2021).

The table below, from CEPR, contrasts the policies adopted by a variety of advanced and emerging central banks. It illustrates a high degree of convergence in the tools employed by the two groups, in the form of rate reductions, forward guidance, and asset purchases to regulatory relief.

Figure 6: Comparison of advanced and emerging economy central bank policy actions during COVID-19

Central bank	Rate cuts and forward guidance			Asset purchases		Liquidity provision and credit support					Regulatory easing[3]	
	Rate cuts	Negative rates	Forward guidance	Sovereign debt[1]	Other assets	Liquidity provision	Use of f/x swap lines	F/x operations	Direct lending	Programs to encourage bank lending[2]	CCyB	Capital requirements
Advanced economies												
Australia	Y	N	Y	Y	Y	Y	Y	N	N	Y	N [4]	Y
Canada	Y	N	Y	Y	Y	Y	N	N	N	N	N [4]	Y
Euro Area	N	Y [5]	Y	Y	Y	Y	Y	N	N	Y	N	Y
Japan	N	Y [5]	Y [6]	Y	Y	Y	Y	N	N	Y	N [4]	Y
Sweden	N	N	Y	Y	Y	Y	Y	N	N	Y	Y	N
Switzerland	N	Y [5]	Y [7]	N	N	Y	Y	Y	N	Y	Y	Y
United Kingdom	Y	N	Y	Y [8]	Y	Y	Y	N	N	Y	Y	Y
United States	Y	N	Y	Y	Y	Y	N	N	Y	N	N [4]	Y
Emerging economies												
Brazil	Y	N	Y	N [9]	N [9]	Y	N [10]	Y	N	Y	N [4]	Y
Chile	Y	N	Y	N [9]	Y	Y	N	Y [11]	N	Y	N [4]	Y
China	Y	N	N	N	N	Y	N	N [12]	N	Y	N [4]	N
India	Y	N	Y	Y [8]	Y	Y	N	Y	N	Y	N [4]	Y
Indonesia	Y	N	N	Y	N	Y	Y	Y	N	Y	N [4]	N
Russia	Y	N	N	N	N	Y	N	Y	N	Y	N [4]	Y
South Africa	Y	N	N [13]	Y	N	Y	N	N	N	N	N [4]	Y
Turkey	Y	N	N	Y	N	Y	Y	Y	N	Y	N [4]	N

Source: CEPR, 2021

This table illustrates that the Brazilian, Chilean, Indian, and South African central banks employed a great diversity of support mechanisms, including sovereign debt buying, liquidity provision, and easing of regulation, just as the Federal Reserve or the Bank of England. But even with this policy convergence, the economic and market outcomes were rather dissimilar.

Why the Same Tools Produced Different Results?

Availability of equipment does not necessarily point to efficiency. Some of the reasons that the emerging markets were financially constrained and more volatile than their developed peers are:

External Vulnerabilities

The emerging markets would generally be more dependent on foreign capital and sensitive to investor sentiment elsewhere in the world. When the US Federal Reserve raised interest rates, capital fled emerging markets in a rush, resulting in currency appreciation, inflationary pressure, and declining stock markets (Deloitte Insights, 2022).

Debt and FX Exposure

Most developing markets have dollar-denominated debt. When their local market currencies weakened, their debt servicing became costly, worsening fiscal distress, whereas advanced economies finance themselves in their local currency mainly (English et al, 2021).

Institutional Credibility and Strength

Investors place more confidence in institutions of the more developed economies, and that is a cushion against policy change overreaction. Poorer political institutions and political

instability in some emerging economies, however, led to more volatile market fluctuations even when the same policies were pursued.

Policy Headroom

Advanced economies had the discretion to carry out quantity-easing bond purchases and liquidity injection without frightening markets. Emerging markets, even when they were legally authorized to do so (e.g., Brazil and Chile), tended not to make asset purchases, thinking that investors would react negatively (English et al, 2021).

A Converging Policy Response, but Diverging Capacity

One of the key lessons of the COVID period is that the traditional divide between "traditional" and "unconventional" policy has disappeared. Instruments such as forward guidance, QE, and FX interventions are now accepted central bank instruments in both camps (English et al, 2021).

But as CEPR explains, "the gap between advanced economies and emerging markets no longer appeared to be one of tools at hand, but of possessing good fundamentals and the institutional framework to employ them."

For example:

India financed bond purchases with Ways and Means Advances, and helped finance bank loans, but was unstable because of rising international interest rates and a depreciating rupee.

Brazil had legal powers to buy assets but did not utilize them, relying on massive FX reserves and preemptive rate increases in defending its economy.

The Euro Area and Japan, which had decades of negative or zero rates, increasingly came to depend on forward guidance and asset purchases to signal stability and manage volatility.

Institutions and Fundamentals Make the Difference

Though the policy toolkit in advanced and emerging economies looks the same today, the effectiveness of such a toolkit in their hands remains different. Emerging economies performed much better, implementing asset purchases and forward guidance more credibly than before to some extent, but external vulnerability, investor sensitivity, and institutional vulnerability continue to constrain them in managing volatility.

This contrast indicates that volatility in the stock market is not merely a matter of interest rate volatility, but also of how markets perceive a country's ability to sustain and transmit policy. As more of the global monetary tightening occurs, the differential in market resilience between the advanced and emerging economies may reduce further, but only as long as the emerging markets continue to tighten their fundamentals, build reserves, and build institutional credibility.

That sets the final discussion of future policy takeaways, investor strategy, and how countries can best manage volatility in a world that is increasingly interdependent.

Policy Implications & Future Outlook

Policy Implications for Central Banks

Facilitating FX Resilience and Intervention Capability

India's experience vindicates the value of adequately funded defense measures. Its foreign exchange reserves in the last month exceeded \$700 billion, enabling the Reserve Bank of India (RBI) to support the rupee with greater ease and its ability to withstand currency volatility,

without exhausting its forward book excessively (Reuters, 2025). The rest of the emerging market economies can use this playbook, constructing large and liquid FX reserves that provide buffers in times of stress, allowing policymakers to act with a cool head rather than resorting to excess tightening or capital controls.

Taking on a "Soft" Policy Regime with Market Clarity

Central banks such as the Fed and ECB have continued to indicate ongoing inflation threats despite inflation measures starting to recede. In 29 economies, inflation expectations are still high, at around 8%, as opposed to a 2–3% target (FT, 2025). Credible communication and transparent forward guidance are called for here when central banks are transparent and credible, markets do not overreact. A clear message, along with data-led policy, is particularly necessary in emerging markets where sudden changes in sentiment can cause sudden capital flight and currency instability.

Establishing Institutional Credibility and Policy Autonomy

They are becoming better able to react to world shock through improved inflation-targeting arrangements, higher central bank independence, and more transparent policy-making. But those gains need to be maintained. When new types of risks emerge, geopolitical shocks, climate shocks, or future pandemics, markets will not only consider what instruments a central bank is using, but also the coherence and credibility with which they are being used. Policy independence is constructed over the long term; countries that make an effort to establish strong institutions will be better placed to weather future turbulence.

Strategic Implications for Investors and Sovereigns

Diversified Risk Management in an Uncertain World

As FX volatility increases, a few Indian companies have accelerated hedging, currently around 90% of their external exposure, from 60–70% before the pandemic (Reuters, 2025). For other emerging market investors and companies, this is a sign of increasing awareness that hedging is not an economic decision; it is a survival need. Building risk cushions through derivatives, forward contracts, and diversified portfolios will enable companies to remain afloat during extended periods of turbulence without scaling back investments or firing employees.

Building Resilience Through Local Markets

The expansion of domestic bond markets across countries like India, China, and Brazil, now worth over \$7 trillion together, has reduced foreign currency borrowing dependence (FT, 2024). Encouraging domestic currency borrowing reduces dollar volatility exposure as well as develops local financial infrastructure. To governments, it is a less risky source of financing; to investors, it is a new frontier market for investment. The overall gist is straightforward: financial independence starts with deepening and broadening your domestic capital markets.

Macroprudential and Capital Controls Timing

Where interest rate rises are the first line of defense against inflation, sometimes they're too late, or too soon. That's where macroprudential tools enter the picture (e.g., countercyclical capital buffers, tighter loan standards) and short-term capital controls. IMF analysis has shown that certain policy tools have the power to moderate excessive capital flows or credit bubbles without undermining long-term investor confidence (IMF, 2024). For example, increasing

reserve requirements or limiting lending to risky sectors can cool hot economies without pushing rates into recession. The trick is to put these tools in place ahead of time, not behind.

Looking Forward: What Comes Next?

Sticky Inflation and Future Rate Cycles

Though headline inflation has eased across most economies, the journey to target levels (around 2%) can be prolonged. The IMF points out that though supply chains have returned to normal, wage pressures and services inflation are sticky in emerging and developed economies (IMF, 2024). Central banks will tend to hold rates higher for longer if there is a risk of inflation expectations being unbundled once again. This will translate to increased volatility and a risk-averse investment environment in the short run.

Enhanced Vulnerability through Global Fragmentation

The Bank for International Settlements (BIS) has recently warned of increasing financial fragmentation prompted by changing groupings, trade blocs, and diverging regulatory landscapes (Reuters, 2025). For central banks, it becomes increasingly difficult for money to be passed along: capital no longer flows as easily, and establishing rates in one country may no longer have the same resonance worldwide. It also becomes more difficult for EMs to "import stability" from developed economies, meaning more is left to their institutions to shape expectations.

Towards a "Soft Landing", but Danger Still Lurks

Emerging markets' growth projections are still reasonably upbeat at some 4.3%, and most countries have successfully patched together inflation expectations. But it does not exclude the possibility. If advanced economies cut rates prematurely, or if political tensions erupt, capital can

enter or exit EMs too rapidly again. A soft landing is achievable, but no certainty. Policymakers need to remain alert, agile, and open with their economies during this delicate stage of post-pandemic recovery.

Final Take: Towards More Strategic Monetary Policy

The past few years have shown that the central banks must do better than merely be reactive rate setters. They must be proactive, trust builders, cushions, and sources of flexibility.

Resilience rather than reactivity - Nations with strong buffers of reserves, domestic bond markets, and open communication coped with the crisis. These instruments must be built and institutionalized.

There needs to be international coordination - Since monetary tightening or loosening in the large economies has global spillovers, more policy coordination and communication, preferably through the IMF or BIS conduits, will remove the surprise factor feared by markets.

Caution with clarity for investors - Volatility is not going anywhere. But disciplined approaches, diversified portfolios, and sound risk management will ride out the storm for investors.

Finally, while we cannot prevent global shocks, we can predict them and turn potential crises into eras of strategic reorientation and lasting change.

Conclusion

A Global Shock, Uneven Ripples

The COVID-19 pandemic was not only a health emergency—it was a global economic turning point. Central banks moved with unprecedented velocity and coordination, cutting rates, injecting liquidity, and stabilizing markets. All of this arrested a further collapse, but it also laid

the groundwork for the next episode of turmoil: inflation, swift rate rises, and stock market turbulence once more.

As this paper has shown, the post-COVID interest rate policies of the central bank had a strong impact on stock markets, but not evenly. Developed economies, with more policy room and better institutions, transitioned more smoothly. Emerging markets, while better prepared than during previous crises, faced additional strains—currency depreciation, capital flight, and lower fiscal space.

The evidence is clear: the same policy tools have very different effects depending on the state of the economy and the institutions. And in the case of stock market volatility, it's not simply what central banks do—but how fast they do it, how well they communicate, and how much investors trust their risk management skills.

Adjustments in Interest Rates as a Double-Edged Sword

Interest rates are at the very center of monetary policy—but their influence spreads a great deal farther than the price of borrowing. They set the mood of investors, the attractiveness of risk assets, and flows of capital across nations. When they increase, especially rapidly, they induce realignments in equity markets. Investors shift from stocks to bonds, share prices decline, and expectations of growth decline.

In advanced economies like the United States and the Eurozone, central banks needed to shift from close to zero interest rates to steep increases within a short span of some months. These were levied to control inflation, but they also rattled financial markets. However, advanced markets were resilient—fueled by deep financial systems, strong demand, and investor confidence.

On the other hand, emerging markets had to contend with the same inflation shock as well as external weaknesses. When the advanced economies raised interest rates, capital flows left emerging markets in search of safer returns. Local currencies depreciated, raising the cost of imports and dollar-denominated debts. This created a feedback loop—higher inflation, higher policy, and higher volatility in the markets.

But the reaction of most emerging market central banks throughout this period has been heartening. India, Brazil, and South Africa showed more nimbleness and policy creativity than in previous crises. Most acted promptly, were transparent in their communication, and did not succumb to destabilizing fund manager panic. For the first time in modern history, the gap in central banking credibility between developed and emerging markets started to close.

Lesson Learned and the Way Forward

Several important lessons are derived from this comparative examination:

Policy credibility is as important as the policy. Whether in America or Indonesia, central banks that communicated clearly and stayed focused on long-term goals saw less panic in the markets. Investors will accept short-term volatility if they believe the central bank has a solid hand on the steering wheel.

Emerging economies were capable—and did—utilize advanced tools effectively. The COVID period showed that EMs can execute asset purchases, forward guidance, and liquidity provision without necessarily inducing market instability in the immediate sense. This is a distinctly different mindset from previous assumptions that EMs were "too fragile" to be exposed to nonconventional policy.

But there are still structural loopholes. Even with progress, the new economies remain more vulnerable to external shocks. They have weak institutional frameworks, narrow fiscal space, and reliance on foreign capital, making them vulnerable to higher costs from rate changes across the world. These weaknesses can't be unraveled overnight—but they can be contained through greater reserves, more advanced local bond markets, and independent central banks.

Volatility is not going away. The world economy is entering a new era—one of serial supply shocks, geopolitical uncertainty, and rising debt burdens. Investors and central banks must become accustomed to perpetual shifting interest rates, capital, and asset prices. The "low and stable" regime of the pre-pandemic world is not going to reassert itself anytime soon.

Looking Ahead: A Call for Strategic Refocusing

What are the implications for monetary policy going forward and for financial stability?

For central banks, that means the old script—rate cuts, slow-burning communication, and late tightening—won't work so well in a post-crisis world of rapid-fire shocks. Policymakers will need to be nimbler, using anchor-like clarity and consistency to coordinate expectations. EMs particularly will benefit from establishing credibility, transparency, and resilience—so that when the next global shock arrives, they don't have to choose between inflation management and financial stability.

For investors, it's a reminder that volatility doesn't necessarily equal failure—it's most often a reflection of real rebalancing of the economy. To survive in this environment, patience, diversification, and the capacity to separate short-term noise from longer-term signals are essential. Emerging markets, all their pitfalls notwithstanding, still contain growth opportunity—albeit for those who understand the macro environment and are looking ahead.

For international institutions and governments, this period increases the value of coordination and safety nets. With the effects of central bank actions increasingly affecting other countries' capital flows and currencies, the international financial architecture must adapt. IMF swap lines, regional reserve pools, and coordinated forward guidance are some of the instruments that can be employed to limit cross-border spillovers and avoid panic.

There will be more crises. But each one is an opportunity to learn, to adapt, and to innovate for the next phase of growth. Central banks are no longer inflation managers—that is no longer what they do today. They are economic first responders. What they do, and with what tools, will make markets and the course of recovery, and the trust of citizens across the world.

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